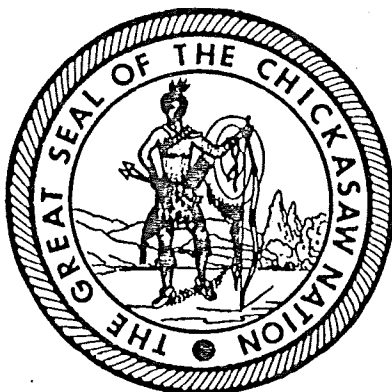


6th Legislature



T.L. 6-009

To create a tribal industrial development commission, and for other purposes.

IN THE CHICKASAW TRIBAL LEGISLATURE

July 21, 1989

Messrs. Joe Kent ABBOTT, Barney ABBOTT, David STOUT, Mr. Harold HENSLEY and Mrs. Rena DUNCAN introduced the following bill

A BILL

To create the Chickasaw Nation Industrial Development Commission, to establish legal authority for its operation, and for other purposes.

Be it enacted by the tribal legislature of the Chickasaw Nation assembled, that this Act may be cited as the "Chickasaw Nation Industrial Development Act of 1989."

SEC. 2. The legislature finds that--

(1) A need exists for a governmental entity to assist the tribal government in providing for the welfare of tribal citizens through industrial development and the provision of jobs;

(2) the creation of an industrial development commission is necessary for the successful completion and realization of tribal goals and objectives;

(3) that the creation and operation of an industrial development commission for the Chickasaw Nation serves an essential governmental function of the tribe by allowing it to address the serious economic, social and health problems associated with the serious unemployment and underemployment within the Chickasaw tribe, the general lack of available tribal funds to address these problems, and the attendant

impact upon the public health, safety and welfare created by this situation;

(4) the creation and operation of a tribal industrial development commission addresses a situation which has not, and cannot be relieved through the operation of private enterprises, and that the purpose of providing job training and relief from critical unemployment and underemployment rates, and the development of tribal revenue-generating activities are public uses and purposes, for which public money may be spent and private property acquired, and are governmental functions of tribal concern;

(5) the necessity in the public interest for the provisions hereinafter enacted is hereby declared as a matter of legislative determination;

(6) the Chickasaw Nation is a federally recognized Indian tribe, having certain powers reserved to and for the tribal government of the Chickasaw Nation.

SEC. 3. For the purpose of this Act--

(1) "The Chickasaw Nation" means the tribe of Indians located within the boundaries set forth in the Constitution of the Chickasaw Nation, being duly recognized by the secretary of the interior of the United States of America, as a self-governing, sovereign government;

(2) "Constitution" means the Constitution of the Chickasaw Nation as ratified by the voters of the Chickasaw Nation on August 27, 1983;

(3) "Chickasaw Tribal Legislature" or "legislature" means the legislative branch of the Chickasaw Nation tribal government as created and empowered by Articles V, VI, VII, VIII and IX of the Constitution;

(4) "Governor" means the chief magistrate of the Chickasaw Nation, as defined in Article X, Section 1, of the Constitution;

(5) "Claim" means a claim for personal injury, death, property damage, or for recovery of property arising in tort law;

(6) "Contract" means any agreement express or implied by law for the exchange of consideration;

(7) "Obligations" means any notes, bonds, interim certificates, debentures or other forms of obligation issued by the Chickasaw Nation Industrial Development Commission pursuant to this Act;

(8) "Obligee" means any holder of an obligation, an agent or trustee for any holder of an obligation, or lessor demising to the commission property used in connection with a project, or any assignee or assignees of such lessor's interest or any part thereof, and the federal government when it is a party to any contract with the Chickasaw Nation Industrial Development Commission in respect to a project;

(9) "Tribal court" means the court of the Chickasaw Nation as created and defined in Articles XII and XIII of the Constitution;

(10) "Tribal jurisdiction" means all lands located within the exterior boundaries of the Chickasaw Nation as defined by the districts contained in Article VI, Section 3, of the Constitution of the Chickasaw Nation.

SEC. 4. The basis for authority of this Act is Article VII, Section 4, of the Constitution, wherein the tribal legislature is granted the power and authority to enact rules and regulations pertaining to the Chickasaw Nation in accordance with the Constitution. The Chickasaw Tribal Legislature, with the adoption of this Act, hereby:

(a) Establishes and creates a public body corporate and politic known as the Chickasaw Nation Industrial Development Commission, which shall be an agency of the Chickasaw Nation, having the purposes, powers and duties as herein or hereafter provided by tribal law, for the purposes of:

(1) remedying the disproportionate unemployment rate of tribal citizens and other persons residing with the tribal jurisdiction;

(2) remedying the disproportionate underemployment rate of tribal members and other persons within the tribal jurisdiction;

(3) providing revenues with which the Chickasaw Nation may address other pressing matters of public health, safety and welfare, or for other tribal purposes;

(5) attracting private industry to the tribal jurisdiction;

(6) expanding the tribal land base and economic development potential through the purchase of additional land for tribal use.

(b) Provides that, in any suit, action or proceeding involving the validity or enforcement of, or relating to any of its contracts, the commission shall be conclusively deemed to have become established and authorized to transact business and exercise its powers upon proof of the adoption of this Act. A copy of this Act, duly certified by the governor of the Chickasaw Nation, shall be admissible in evidence in any suit, action or proceeding. The tribal courts shall take judicial notice of this Act.

SEC. 5. The affairs of the commission shall be managed by a board of directors composed of five persons. The board members shall be appointed, and may be reappointed by the governor with the advice and consent of the Chickasaw Tribal Legislature expressed by simple resolution. A resolution of the legislature,

concurred with and signed by the governor, as to the appointment or reappointment of any board members, shall be conclusive evidence of the due and proper appointment of the board member.

SEC. 6. (A) A board member may be a citizen or non-citizen of the Chickasaw Nation, provided, that the majority of the board shall be comprised of citizens of the Chickasaw Nation.

(B) No person shall be barred from serving on the board because he or she is an employee of an enterprise of the commission or the tribe, has a business contractual relationship with the commission or the tribe, or operates a private business within the tribal jurisdiction. However, no such board member shall be entitled or permitted to participate in or be present at any portion of a meeting (except as a member of the public or as an employee), or to be counted or treated as a member of the board, concerning any matter involving his individual rights, obligations or status.

(C) Each board member shall be at least 21 years of age and legally capable of entering into a binding contract.

(D) No person who has been finally convicted in any court of competent jurisdiction of a felony or other crime involving embezzlement, fraud or moral turpitude, shall serve on the board of directors.

(E) Each commissioner shall take an oath to support and defend the Constitution and laws of the Chickasaw Nation.

SEC. 7. The term of office of members of the board shall be five years and staggered. The first appointment of board members shall be for terms of one, two, three, four and five years for the respective members. Thereafter, all appointments shall be for five years beginning from the date following the regular expiration of the particular seat on the board, except that in the case of a vacancy occurring prior to the expiration of a regular term, an appointment to that seat shall be only for the length of the unexpired term. Each member of the board shall hold office until his successor has been appointed and has qualified.

SEC. 8. The board of directors shall elect from among its members a chairman, a vice chairman, a secretary and a treasurer. The officers shall serve at the pleasure of the board of directors. Removal of a director from an office shall not be deemed to be a removal from the board of directors. Removal of a director from the board shall be accomplished only in full and strict accordance with laws governing removal of gubernatorial appointees.

SEC. 9. The board of directors may receive compensation for their services at a rate to be established by

the legislature, and reimbursement for expenses, including travel expenses, when incurred in the discharge of their duties. Expenses may be advanced with the approval of the board. No member of the board of directors shall have his compensation reduced during his term of office, except that if funds be unavailable for appropriation, the compensation of all board members may be reduced proportionally to the availability of funds.

SEC. 10. Three members of the board shall constitute a quorum.

SEC. 11. (A) The chairman of the board of directors shall preside at all meetings of the board, and shall generally be responsible for the efficient and orderly functioning of the commission.

(B) The vice chairman of the board of directors shall assume the duties of the chairman in his absence, or upon his neglect, failure or refusal to undertake the duties required or delegated to him by law.

(C) The secretary of the board of directors shall keep complete and accurate records of all meetings and actions taken by the board. One copy of the record of the meetings and actions taken by the board shall be filed in the governor's office.

(D) The treasurer shall keep full and accurate financial records, make periodic reports to the board, and submit complete quarterly and annual reports, in written form, to the legislature as required by this Act.

SEC. 12. Regular meetings of the board shall be held at least once each calendar quarter on such day as may be established by rule of the board. Special or emergency meetings may be held upon 24 hours actual notice, or upon such notice as the board may by rule determine, and business transacted, provided that not less than a majority of the full board concurred in the proposed action.

SEC. 13. The commission shall have perpetual existence and succession in its own name.

SEC. 14. (A) The Chickasaw Nation Industrial Development Commission shall have the power to sue in any court in its own name, and with the consent of the legislature expressed by resolution, to sue on behalf of the Chickasaw Nation by styling any such case as "The Chickasaw Nation ex rel. Chickasaw Nation Industrial Development Commission."

(B) The commission may be sued, in tribal court only, in its own name upon any contract or obligation arising out of its activities within the tribal jurisdiction under this Act and the immunity from suit which it has as an agency of the Chickasaw Nation due to the doctrine of sovereign immunity is hereby expressly waived for such purposes to the extent stated herein.

(C) The commission may be sued in the tribal court or in the court of another jurisdiction in its own

name upon any contract or obligation arising out of its activities in such other jurisdiction, and the immunity from suit which it has as an agency of the Chickasaw Nation due to the doctrine of sovereign immunity is hereby expressly waived for such purposes to the extent stated herein.

(D) No property of the commission located within the tribal jurisdiction may be taken by attachment, court order, lien or otherwise to satisfy any judgment rendered in such a case absent the consent of the legislature first obtained.

(E) Neither the Chickasaw Nation nor any of its property shall be liable for any of the debts, liabilities or obligations of the commission, nor may any court make or enforce any order concerning execution upon or the right to possession of any tribally owned property assigned to the use of the commission unless the legislature gives its consent to such order.

SEC. 15. The Chickasaw Nation Industrial Development Commission shall have the following powers which it may exercise consistent with the purposes for which it is established:

(a) to adopt and use a corporate seal;

(b) to enter into agreements, contracts and undertakings with any governmental agency, federal, state or local (including any tribe) or with any person, partnership, corporation, and to agree to any conditions attached to federal financial assistance;

(c) to lease property from or to the tribe and others for such periods as are authorized by law, and to hold and manage or sublease the same;

(d) to borrow or lend money, to issue temporary or long term evidence of indebtedness, and to repay the same. Obligations shall be issued and repaid in accordance with the provisions of this Act;

(e) to pledge the assets and receipts of the commission as security for debts, and to acquire, sell, lease, exchange, transfer or assign personal property or interests therein;

(f) to purchase or take by gift any land or interest in land provided that such land located within the tribal jurisdiction shall, upon payment of the purchase price and satisfaction of any purchase money or pre-purchase mortgage on the land, be placed in trust upon the approval of the secretary of the interior for the benefit of the Chickasaw Nation and will then be assigned to the use of the commission, to lease land or interests in land owned or assigned to the use of the commission to the extent provided by law, provided that the commission may not lease tribal land assigned to its use for a period exceeding the term of the assignment of the land to the commission or for more than ten years absent the consent of the legislature. For purposes

of this subparagraph, an assignment of tribal land to the commission for an indefinite term, or for no stated term shall be an assignment which is revocable upon 30 days notice by the legislature that the land is needed for other tribal purposes. The determination of the legislature of such need shall be final and conclusive;

(g) to undertake and carry out studies and analyses of employment and job training needs within the tribal jurisdiction, to operate economic development projects and tribal businesses, to aid and assist private sector businesses in locating within the tribal jurisdiction including assistance with achieving compliance with appropriate tribal laws and regulations;

(h) to make rules and regulations regarding its activities pursuant to this Act as the board may deem necessary and desirable to effectuate the powers granted by this Act. Provided, that all such rules and regulations shall be filed for record in the governor's office prior to being given any force or effect;

(i) to purchase insurance from any stock or mutual company for any property or against any risk or hazards, and the sovereign immunity of the commission is hereby waived to the limit of the scope and extent of such insurance as may be force as to any claim payable by such insurance;

(j) to invest such funds as are not required for immediate disbursements;

(k) to establish and maintain such bank accounts as may be necessary or convenient;

(l) to employ as officers a president, and such vice presidents and assistant secretaries as may be necessary or convenient, and to employ technical and maintenance personnel and such other officers and employees, permanent or temporary, as the commission may require, to establish the conditions of their employment, and to delegate to such officers and employees such powers or duties as the commission shall deem proper;

(m) to take such further actions, not inconsistent with this Act, as are commonly engaged in by public or corporate bodies of this character as the commission may deem necessary or convenient to effectuate the purposes of the commission;

(n) to enter into partnerships, joint ventures and other business arrangements with any legal entity to effectuate the purposes of the commission;

(o) to adopt such rules and regulations for the government of its internal affairs as the commission deems necessary or appropriate to administer or enforce this Act and its activities thereunder. Provided, that all such rules and regulations shall be filed for record in the governor's office prior to being given any force or effect.

(p) to operate, manage, use and control, including entering into leases as hereinbefore provided, such real or personal property which the legislature shall assign to its use.

(q) to pay over yearly to the tribe such percentage of its profits which, according to sound business practices, will be available for general expenditure for purposes other than business development, due regard being had for further expansion of tribal business enterprises, contingencies, bad debts and the like;

(r) to exercise any and all powers of a domestic corporation under tribal law governing such corporations, either currently in effect or to be devised and enacted by the legislature;

(s) to engage in any lawful business;

(t) to use the name, "Chickasaw Nation Industries, Ltd." in any of its business activities within or without the tribal jurisdiction, and to incorporate or hold stock in such other corporations as may be necessary or convenient. The name, "Chickasaw Nation Industries, Ltd.," is hereby reserved to the use of the Chickasaw Nation Industrial Development Commission and no other domestic or foreign corporation may use such name within the tribal jurisdiction.

SEC. 16. It is the purpose and intent of this Act to authorize the commission to do any and all things necessary or desirable and not prohibited to secure the financial aid or cooperation of the federal government or private sources of capital in the undertaking, construction, maintenance or operation of any project of the commission, subject to the limitations contained in this Act.

SEC. 17. No ordinance or other enactment of the tribe with respect to the acquisition, operation or disposition of tribal property shall be applicable to the commission in its operations pursuant to this Act, unless specifically so stated herein, or in the ordinance in question if the Chickasaw Nation Industrial Development Commission is specifically referred to.

SEC. 18. The commission may issue obligations from time to time in its discretion for any of its purposes and may also issue refunding obligations previously issued by it, provided that the commission shall file notice of intent to issue such obligations in the governor's office at least 30 days prior to the first issuance of any particular obligation or series of obligations as it may determine, including obligations on which the principal and interest are payable,

(a) exclusively from the income and revenues of the project financed with the proceeds of such obligations, or with such income and revenues together with a grant from the federal government, if an allowable cost, in aid of the project;

(b) exclusively from the income and revenues of certain designated projects whether or not they are financed in whole or in part with the proceeds of such obligations, or

(c) from its revenues generally, any of such obligations may be additionally secured by a pledge of any revenues of any project or other project or other property of the commission.

All such obligations shall be subject to the jurisdiction of the tribal court for enforcement of their provisions wherever they may be physically located.

SEC. 19. Neither the directors of the commission, nor any person executing the obligations shall be personally liable on the obligations by reason of issuance thereof.

SEC. 20. The notes and other obligations of the commission shall not be a debt of the Chickasaw Nation, and the obligations shall so state on their face.

SEC. 21. Obligations of the commission are declared to be issued for an essential public and governmental purpose, and to be public instrumentalities and, together with interest thereon and income therefrom, shall be exempt from taxes imposed by the Chickasaw Nation. The tax exemption provisions of this Act shall be considered part of the security for the repayment of obligations, and shall constitute, by virtue of this Act and without necessity of being restated in the obligations, a contract between (a) the commission and the tribe, and (b) the holders of obligations and each of them, including all transferees of the obligation from time to time.

SEC. 22. Obligations shall be issued and sold in the following manner:

(a) Obligations of the commission shall be authorized by a resolution adopted by the vote of a majority of the full board and may be issued in one or more series.

(b) The obligations shall bear such dates, mature at such times, bear interest at such rates, be in such denominations, be in such form, either coupon or registered, carry such conversion or registration privileges, have such rank or priority, be executed in such manner, be payable in such medium of payment, and at such places, and be subject to such terms of redemption, with or without premium, as such resolution may provide.

(c) The obligations may be sold at public or private sale at not less than par value.

(d) In case any of the directors of the commission whose signatures appear on any obligations cease to be commissioners before the delivery of such obligations, the signatures shall, nevertheless, be valid and sufficient for all purposes, the same as if the directors had remained in office until delivery.

(e) Whenever necessary, the commission shall comply in the issuance of its obligations with the securities laws of the United States of America.

SEC. 23. Obligations of the commission shall be fully negotiable unless otherwise stated on their face. In any suit, action or proceeding involving the validity or enforceability of any obligation of the commission or the security therefore, any such obligation by the commission to aid in financing a project pursuant to this Act shall be conclusively deemed to have been issued for such purpose in the absence of fraud by the holder or with the knowledge of the holder thereof in the procurement of the obligation, and the project for which such obligation was issued shall be conclusively deemed to have been planned, located and carried out in accordance with the purposes and provisions of this Act in the absence of fraud in the procurement of such obligation or security.

SEC. 24. In connection with the issuance of obligations or incurring of obligations under leases and to secure the payment of such obligations, the commission, subject to the limitations in this Act, may:

(a) Pledge all or any part of its gross or net rents, fees or revenues to which its right then exists or may thereafter come into existence.

(b) Provide for the powers and duties of obligees, and limit their liabilities; and provide the terms and conditions on which such obligees may enforce and covenant or their rights securing or relating to the obligations.

(c) Covenant against pledging all or any part of its rents, fees and revenues or personal property to which its title or right then exists or may thereafter come into existence or permitting or suffering any lien on such revenues or property.

(d) Covenant with respect to limitations on its right to sell, lease, or otherwise dispose of any project or any part thereof.

(e) Covenant as to the obligations to be issued and as to the issuance of such obligations in escrow or otherwise, and as to the use and disposition of the proceeds thereof.

(f) Provide for the replacement of lost, destroyed or mutilated obligations.

(g) Covenant against extending the time for the payment of its obligations or interest thereon.

(h) Redeem the obligations and covenant for their redemption and provide the terms and conditions thereof.

(i) Covenant concerning the rents and fees to be charged in the operation of a project or projects, the

amount to be raised each year or other period of time by rents, fees and other revenues, and as to the use and disposition to be made thereof.

(j) Create or authorize the creation of special funds for monies held for construction or operating costs, debt service, reserves or other purposes, and covenant as to the use and disposition of the monies held in such funds.

(k) Prescribe the procedure, if any, by which the terms of any contract with holders of obligations may be amended or abrogated, the proportion of outstanding obligations the holders of which must consent thereto, and the manner in which such consent may be given.

(l) Covenant as to the use, maintenance and replacement of its real or personal property, the insurance to be carried thereon, and the use and disposition of insurance monies.

(m) Covenant as to the rights, liabilities, powers and duties arising upon the breach by it of any covenant, condition or obligation.

(n) Covenant and prescribe as to events of default and terms and conditions upon which any or all of its obligations may become or may be declared due before maturity, and as to the terms and conditions upon which such declaration and its consequences may be waived.

(o) Vest in any obligees or any proportion of them the right to enforce the payment of the obligations or any covenants, security or relating to the obligations.

(p) Exercise all or any part or combination of the powers granted in this section.

(q) Make covenants other than, and in addition to, the covenants expressly authorized in this section, or of like or different character.

(r) Make any covenants and do any acts and things necessary or convenient or desirable in order to secure its obligations, or, in the absolute discretion of the commission, tending to make the obligations more marketable although the covenants, acts or things are not enumerated in this section.

SEC. 25. The minutes and record of all action of the commission with respect to obligations issued by it shall be filed for record in the governor's office.

SEC. 26. The commission shall submit quarterly and annual reports, signed by the chairman of the board, to the legislature showing:

(a) a summary of the period's activities;

(b) the financial condition of the commission;

- (c) the condition of the properties under the commission's management or control;
- (d) a summary of any unprofitable venture and plans for correction;
- (e) any significant problems and accomplishments;
- (f) plans for the future;
- (g) such other information as the commission or the legislature shall deem pertinent.

➤ SEC. 27. During his tenure and for three years thereafter, no director or executive officer of the commission or any other public official who exercises any responsibilities or functions with regard to a project of the commission, shall voluntarily acquire any interest, direct or indirect, in any matter or in any property included or planned to be included in any project, or in any contract or proposed contract relating to the project; unless, prior to such acquisition, he discloses his interest in writing to the commission and such disclosure is entered upon the minutes of the commission, and the director, executive officer or other public official shall not participate in any action by the commission relating to the property or contract in which he has an interest. If a director, executive officer or other public official involuntarily acquires any such interest, or voluntarily or involuntarily acquires any such interest prior to appointment or employment, in any such event, the person shall immediately disclose his interest in writing to the commission, and such disclosure shall be entered upon the minutes of the commission, and that person shall not participate in any action by the commission relating to the property or contract in which he or she has any such interest. Any violation of the foregoing provisions of this section shall constitute misconduct in office and a violation of the public trust and shall subject the party to removal from the board or other office held, and make such party liable to the commission for any and all profits of any kind or character which he may have obtained by virtue of the violation of his trust. This section shall not be applicable to the acquisition of any interest in obligations of the commission issued in connection with any project, or to the execution of agreements by banking institutions for the deposit or handling of funds in connection with a project or to act as trustee under any trust indenture, or to utility service rates which are fixed or controlled by a governmental agency.

SEC. 28. Each project developed or operated under a contract providing for federal financial assistance shall be developed and operated in compliance with all requirements of such contract, and applicable federal legislation, and with all regulation and requirements proscribed from time to time by the federal government in connection with such assistance.

SEC. 29. The commission shall obtain or provide for the obtaining of adequate fidelity bonds for all officers

and employees handling cash, or authorized to sign checks or obligations or to certify vouchers.

SEC. 30. The property of the Chickasaw Nation Industrial Development Commission is declared to be public property used for essential public and governmental purposes of the Chickasaw Nation.

SEC. 31. All property within the tribal jurisdiction including funds acquired or held by the commission pursuant to this Act shall be exempt from levy and sale by virtue of an execution, and no execution or other judicial process shall issue against the same, nor shall any judgment against the commission be deemed to be a charge or lien upon such property. However, the provisions of this section shall not apply to or limit the right of obligees to pursue any remedies for the enforcement of any pledge or lien given by the commission on its rents, fees or revenues, or to enforce any purchase money mortgage upon lands purchased by the commission with the proceeds of the note secured by such purchase money mortgage.

SEC. 32. There shall be a personnel policy manual which shall be approved by the board of directors.

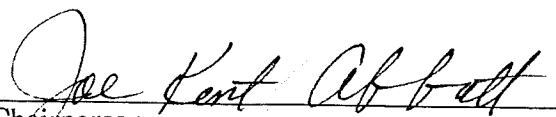
SEC. 33. The tribal court shall take judicial notice of this Act, and of all rules and regulations of the commission which have been properly filed for record.

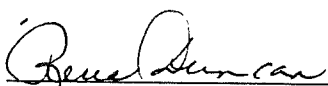
SEC. 34. A tribal certificate of incorporation shall be issued to the Chickasaw Nation Industrial Development Commission.

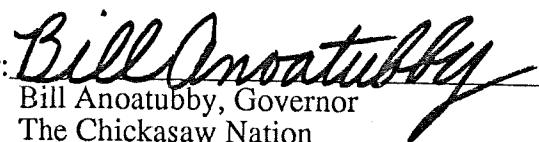
SEC. 35. The legislative and executive departments shall exercise oversight authority over the Chickasaw Nation Industrial Development Commission.

SEC. 36. This Act shall repeal and nullify any other similar legislation.

Executed in regular session of the Chickasaw Tribal Legislature meeting at Ada, Oklahoma, on August 18, 1989, by a vote of 8 ayes, 4 nays and 1 abstentions.


Chairperson
Chickasaw Tribal Legislature


Secretary
Chickasaw Tribal Legislature

Concur: 
Bill Anoatubby, Governor
The Chickasaw Nation

Date: AUG 18 1989